Type MS · Why and how firms grow: mergers and takeovers

Answer 1 of 14 · Question 1 part i · 6 marks

2024 JUN · Paper 01 · extract 1 of 5 · find part i in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** Infinity A is not correct because this is unitary elasticity B is not correct because demand is price inelastic C is not correct because this is perfectly price inelastic demand	**(1)**

Question number	A country has a minimum wage of €6.04 per hour. If a worker provides 35 hours of labour in a week, the lowest weekly wage the worker can earn is **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **C** €211.40 A is not correct because this is only one hour of labour B is not correct because this is less than the minimum wage for a 35-hour week D is not correct because this is not the lowest amount that can be earned	**(1)**

Question number	What is meant by the term mixed economy? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition The state/public and private sectors **(1)** provide goods/services between them **(1)** Accept any other appropriate response	**(2)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 1 of 14 · Question 1 part i · 6 marks

2024 JUN · Paper 01 · extract 2 of 5 · find part i in this mark scheme extract

Question number	State **one** example of an occupation that is in the tertiary sector of an economy. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct example • Teacher/Retailer/Banker Accept any other appropriate response	**(1)**

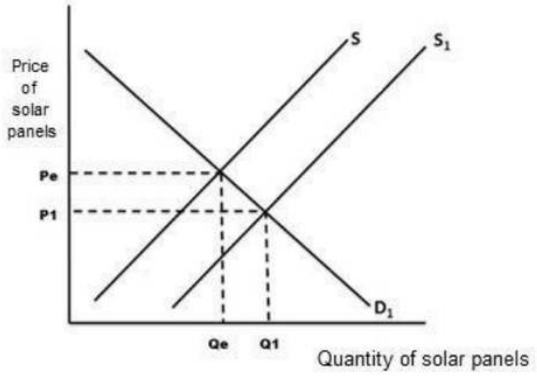
Question number	Define the term producer. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A person/company/country that makes/creates goods/services Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 7% and quantity demanded increases by 11%. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 11% ÷ 7% **(1)** Award 1 mark for correct income elasticity of demand (YED) = 1.57 **(1)** Award 2 marks if YED is correctly calculated as 1.57, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 1 of 14 · Question 1 part i · 6 marks

2024 JUN · Paper 01 · extract 3 of 5 · find part i in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market for solar panels if the government removes an indirect tax on them. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of supply, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled 	**(3)**

Question number	Explain one possible opportunity cost for Casper of this decision. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context • One opportunity cost is Casper may not be able to buy a new phone **(1)** because he does not have enough money for both **(1)** so he has to sacrifice the next best alternative when using the money he has to buy the television **(1)** Accept any other appropriate response	**(3)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 1 of 14 · Question 1 part i · 6 marks

2024 JUN · Paper 01 · extract 4 of 5 · find part i in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse **two** possible factors influencing Anastasia's decision to open a second club. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Factors influencing the growth of firms include the desire to spread risk, to take over competitors, access to finance, economies of scale and government regulation • The martial arts club has been successful for a few years, meaning Anastasia may have access to finance • Therefore, she may have enough finance with which to open a second club in another district of Budapest • Although the club is successful in District 16, Anastasia may wish to spread the risk • In case demand changes at her existing club the revenue from the second club is able to support the running of the firm

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Why and how firms grow: mergers and takeovers

Answer 1 of 14 · Question 1 part i · 6 marks

2024 JUN · Paper 01 · extract 5 of 5 · find part i in this mark scheme extract

Question number	Which **one** of the following diagrams shows excess supply? **Answer**	**Mark**

Type MS · Why and how firms grow: mergers and takeovers

Answer 2 of 14 · Question 1 part i · 6 marks

2019 JUN · Paper 01 · extract 1 of 5 · find part i in this mark scheme extract

1(a)	**AO1 1 mark** **A** Land	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **A** $190 000	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to amount willing to be purchased and 1 mark for reference to price The quantity of goods/services consumers are willing and able to buy **(1)** at a given price **(1)**	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct formula Private costs + external costs	**(1)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 2 of 14 · Question 1 part i · 6 marks

2019 JUN · Paper 01 · extract 2 of 5 · find part i in this mark scheme extract

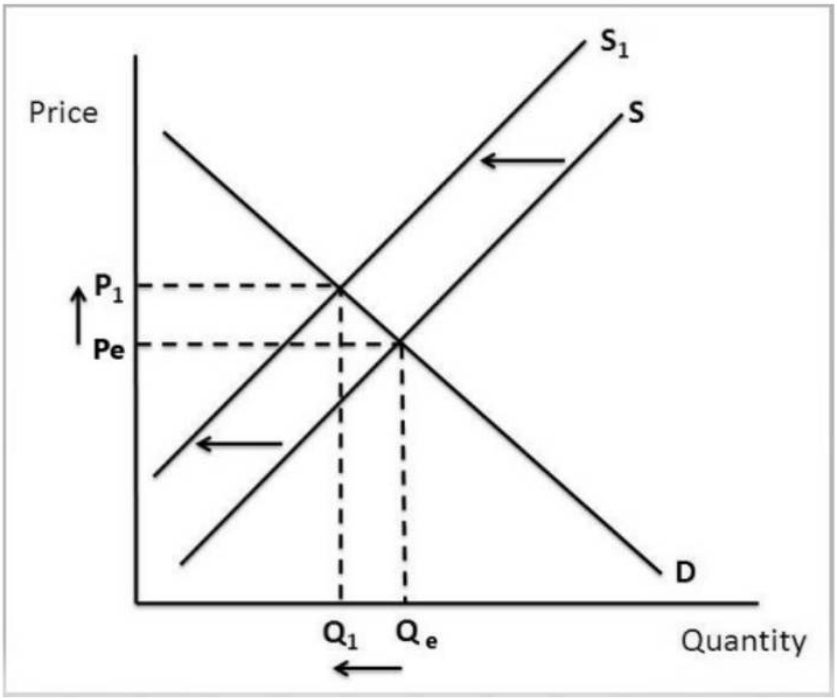
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for reference to the relevant sector of the economy The provision of services in the economy	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation $12 100 ÷ 2 000 **(1)** Award 1 mark for correct average cost per unit (AC) = $6.05 **(1)** Award 2 marks if average cost per unit is accurately calculated, even if no calculations are shown Award 1 mark if students show calculation and put 6.05 without the dollar sign Do not award marks for the formula	**(2)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 2 of 14 · Question 1 part i · 6 marks

2019 JUN · Paper 01 · extract 3 of 5 · find part i in this mark scheme extract

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	(3)

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in the context of music concerts • One reason is that there are no substitutes **(1)** if they want to see the artist performing live **(1)** the consumer will have no choice but to pay a high amount **(1)** Accept any other appropriate response	**(3)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 2 of 14 · Question 1 part i · 6 marks

2019 JUN · Paper 01 · extract 4 of 5 · find part i in this mark scheme extract

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Inca Kola was a major competitor of Coca-Cola and the market leader • Coca-Cola had a slightly lower share of the market than Inca Kola, with 32.0% compared to 32.9% • Inca Kola was well established in Peru (since 1935) • Buying a share of the company was a way to benefit from the success rather than struggle to compete • The purchase meant Coca-Cola no longer needed to compete with Inca Kola for market share • Coca-Cola's purchase means they have much more control over the Peruvian fizzy soft drinks market • Coca-Cola also gets a share of Inca Kola's profits

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Why and how firms grow: mergers and takeovers

Answer 2 of 14 · Question 1 part i · 6 marks

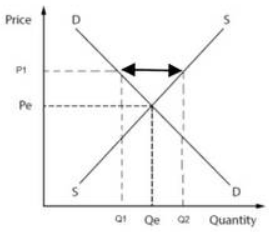
2019 JUN · Paper 01 · extract 5 of 5 · find part i in this mark scheme extract

Question number	Answer	Mark

Type MS · Why and how firms grow: mergers and takeovers

Answer 3 of 14 · Question 2 part f · 2 marks

2020 JAN · Paper 01 (regional R) · extract 1 of 6 · find part f in this mark scheme extract

2(a)	**AO2 1 mark**  **C**	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** **D** Use of expensive technology	**(1)**

Question number	Answer	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing correct calculation 19 ÷ -10 **(1)** Award 1 mark for correct price elasticity of demand (PED) = -1.9 **(1)** Award 1 mark if students show calculation and put 1.9 without the minus sign Award 2 marks if PED is correctly calculated as -1.9, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 3 of 14 · Question 2 part f · 2 marks

2020 JAN · Paper 01 (regional R) · extract 2 of 6 · find part f in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO1 1 mark** Award 1 mark for correct formula Private benefits + external benefits Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition The end user/a person who makes a purchase for their own use Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the factor and 1 mark for development of the factor • The firm may be able to access more finance **(1)** therefore it can spend more on advertising **(1)** • The firm may wish to take over competitors **(1)** so it may gain more customers **(1)** Accept any other appropriate response	**(2)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 3 of 14 · Question 2 part f · 2 marks

2020 JAN · Paper 01 (regional R) · extract 3 of 6 · find part f in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that consumers may have habits that are hard to give up **(1).** Products containing sugar can be habit forming **(1)** and so consumers may find it difficult to stop eating sugar even though they know it is bad for their health **(1)** Accept any other appropriate response	**(3)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 3 of 14 · Question 2 part f · 2 marks

2020 JAN · Paper 01 (regional R) · extract 4 of 6 · find part f in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Negative externalities are spillover effects on third parties due to consumption/production • Over-harvesting sea cucumbers can prevent the marine animal from keeping the coral reef ecosystem healthy and so presents negative externalities • One method of government intervention to reduce negative externalities is the use of fines • In an attempt to reduce over-harvesting, the government fined the owner of Orient Seafood Production (OSP) $1.5m for failing to report harvests of 113,400 kg of sea cucumber in a two-year period • This should stop OSP from over-harvesting again in the future • This would act as a deterrent to other firms that may be considering over-harvesting **AO4** • However, it costs money and takes time to police over-harvesting and impose fines on illegal activity • OSP had already harvested 113 400 kg in two years before being fined, this could already have caused a great deal of damage to the coral reef ecosystem • OSP has already made high profits from over-harvesting and so the fine may not be enough of a deterrent • There is a growing demand in China and sales of sea cucumber are profitable so firms may think it is worth risking being caught and being fined • Other methods of government intervention may be more effective

Type MS · Why and how firms grow: mergers and takeovers

Answer 3 of 14 · Question 2 part f · 2 marks

2020 JAN · Paper 01 (regional R) · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Why and how firms grow: mergers and takeovers

Answer 3 of 14 · Question 2 part f · 2 marks

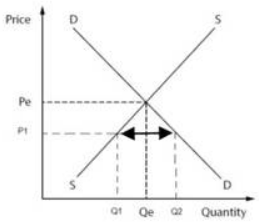
2020 JAN · Paper 01 (regional R) · extract 6 of 6 · find part f in this mark scheme extract

Question number	Answer	Mark

Type MS · Why and how firms grow: mergers and takeovers

Answer 4 of 14 · Question 2 part e · 1 mark

2020 JAN · Paper 01 · extract 1 of 6 · find part e in this mark scheme extract

2(a)	**AO2 1 mark** **A**  	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** **B** A factor of production	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for correct formula in words/as an equation Total revenue minus total costs	**(1)**

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation 36 ÷ 30 **(1)** Award 1 mark for correct price elasticity of supply (PES) = 1.2 **(1)** Award 2 marks if PES is correctly calculated as 1.2, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 4 of 14 · Question 2 part e · 1 mark

2020 JAN · Paper 01 · extract 2 of 6 · find part e in this mark scheme extract

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for reference to money used by a business Funding for a firm Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for the type of business competition and 1 mark for development of the response The Irish Artisan Charcoal Company (IACC) is a monopoly **(1)** as there are no other firms producing charcoal in Ireland **(1)** Accept any other appropriate response	**(2)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 4 of 14 · Question 2 part e · 1 mark

2020 JAN · Paper 01 · extract 3 of 6 · find part e in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in the context • One reason is that public goods are non-excludable **(1)** meaning that everyone walking/driving along the street would benefit from the lighting **(1)** whether or not they pay anything towards it through taxes **(1)** • One reason is that there is non-rivalry for public goods **(1)** meaning that one person walking/driving along the street is not preventing another person from benefitting from street lighting **(1)** whether or not they pay anything towards it through taxes **(1)** Accept any other appropriate response	**(3)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 4 of 14 · Question 2 part e · 1 mark

2020 JAN · Paper 01 · extract 4 of 6 · find part e in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Small firms can offer a personal service so they can meet the needs of the customer more specifically than large firms • Wonderful Wax produces handmade candles and so the personal service offered maybe more likely to attract customers, bringing in more sales • The service offered by Elissa's small firm could cater for a niche part of the market and so some customers may pay higher prices for the candles • By operating a small firm, Elissa is able to maintain control of her business and help the environment by producing candles made with soy wax and essential oils • Increasing production of the candles may mean they can no longer be handmade and Wonderful Wax may lose its identity **AO4** • However, small firms may struggle to meet demand and so may lose customers • Wonderful Wax could potentially sell many more environmentally-friendly candles through use of the production facilities on offer, thus further meeting Elissa's original objective to help the environment • Unit costs of a small firm are likely to be higher as it cannot exploit economies of scale and therefore the profits might be lower • A large firm is more likely to be able to compete should other firms set up selling environmentally-friendly candles

Type MS · Why and how firms grow: mergers and takeovers

Answer 4 of 14 · Question 2 part e · 1 mark

2020 JAN · Paper 01 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Why and how firms grow: mergers and takeovers

Answer 4 of 14 · Question 2 part e · 1 mark

2020 JAN · Paper 01 · extract 6 of 6 · find part e in this mark scheme extract

Question number	Answer	Mark

Type MS · Why and how firms grow: mergers and takeovers

Answer 5 of 14 · Question 2 part e · 1 mark

2020 NOV · Paper 01 · extract 1 of 6 · find part e in this mark scheme extract

2(a)	**AO2 1 mark** **C** Monopoly	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** **B** Consumers have habits that are hard to give up	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for correct formula in words/as an equation $\frac{\text{\% change in quantity supplied}}{\text{\% change in price}}$	**(1)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 5 of 14 · Question 2 part e · 1 mark

2020 NOV · Paper 01 · extract 2 of 6 · find part e in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for identifying the variable costs 2 000 + 15 000 **(1)** Award 1 mark for calculating total variable costs = 17 000 QR **(1)** Award 2 marks if total variable costs are correctly calculated as 17 000QR, even if no calculations are shown Award 1 mark if total variable costs are correctly calculated as 17 000 even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for reference to obtaining control of another firm One firm buys control of another firm Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason In the short term, consumers may not be able to find an alternative product to switch to **(1)** and so it is only in the longer term that they have more opportunity to look for substitutes **(1)** Accept any other appropriate response	**(2)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 5 of 14 · Question 2 part e · 1 mark

2020 NOV · Paper 01 · extract 3 of 6 · find part e in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that a fine may encourage the driver to stay within the speed limit **(1)** because driving too fast may cause accidents **(1)** therefore, fines are likely to reduce the number of accidents and reduce negative externalities **(1)** Accept any other appropriate response	**(3)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 5 of 14 · Question 2 part e · 1 mark

2020 NOV · Paper 01 · extract 4 of 6 · find part e in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The public sector is when government organisations provide goods and services in an economy • The private sector is when the provision of goods and services is by businesses that are owned by individuals or groups of individuals • The economic problem is what, how and for whom to produce when there are finite resources to meet infinite wants • In the private sector businesses such as those producing electronics in Japan, are likely to want to meet the business objective of profit maximisation • Therefore there are likely to be fewer wasted resources, as firms try to keep costs as low as possible when meeting the demand from consumers. This is because resources are likely to be allocated according to the forces of supply and demand • It may therefore rely more on private sector ownership because this is likely to be more efficient when producing goods and services that consumers want, such as clothes, leisure and entertainment • This would mean private sector ownership is more effective in solving the economic problem **AO4** • However, with public sector ownership, the best interests of the public are more likely to be the main objective • Therefore reliance on mostly public sector ownership is likely to be more effective for goods and services that may not be produced in high enough quantities by private sector ownership, such as education, health and street lighting • Although public sector ownership may not be the most efficient, without it, resources may not be used to produce everything needed within an economy • Therefore countries such as Cuba may benefit more from producing with a higher reliance on public sector ownership when trying to solve the economic problem

Type MS · Why and how firms grow: mergers and takeovers

Answer 5 of 14 · Question 2 part e · 1 mark

2020 NOV · Paper 01 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Why and how firms grow: mergers and takeovers

Answer 5 of 14 · Question 2 part e · 1 mark

2020 NOV · Paper 01 · extract 6 of 6 · find part e in this mark scheme extract

Question number	Answer	Mark

Type MS · Why and how firms grow: mergers and takeovers

Answer 6 of 14 · Question 1 part i · 6 marks

2021 JUN · Paper 01 · extract 1 of 5 · find part i in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** A given amount of resources being fully employed A is not correct because this cannot be determined on a PPC B is not correct because a PPC cannot show *how* production can increase C is not correct because a PPC does not show government revenue	**(1)**

Question Number	Which **one** of the following describes this economic assumption? Answer	Mark
1(b)	**AO2 1 mark** The only correct answer is: **A** Businesses aim to maximise their profit B is not correct because there is no indication of any charitable work taking place C is not correct because consumer behaviour is not described D is not correct because it is not linked to government actions	**(1)**

Question Number	What is meant by the term economies of scale? Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to reduced average cost and 1 mark for reference to increased output Average costs of production fall **(1)** as the level of output rises **(1)** Accept any other appropriate response	**(2)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 6 of 14 · Question 1 part i · 6 marks

2021 JUN · Paper 01 · extract 2 of 5 · find part i in this mark scheme extract

Question Number	State **one** example of a factor of production that can be classified as land. Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct example • Forest • Rainwater • Coal • Oil Accept any other appropriate response	**(1)**

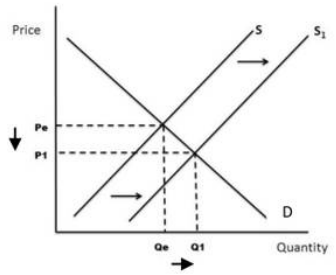
Question Number	Define the term monopoly. Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition One dominant seller in a market Accept any other appropriate response	**(1)**

Question Number	Calculate, to two decimal places, the **price elasticity of demand (PED)** for Alfie's dog-walking service. You are advised to show your working. Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation -1.1/1.5 **(1)** Award 1 mark for correct PED = -0.73 **(1)** Award 2 marks if PED is correctly calculated as -0.73, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 6 of 14 · Question 1 part i · 6 marks

2021 JUN · Paper 01 · extract 3 of 5 · find part i in this mark scheme extract

Question Number	Using the diagram below, draw the likely effects on the market for cars of the introduction of more effective technology in production. Label the new curve, the new equilibrium price and the new equilibrium quantity. Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled 	**(3)**

Question Number	Explain **one** possible effect on the supply of labour of the school-leaving age being raised. Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying an effect Award 1 mark for developing the response Award 1 mark for the response being in context • One effect would be a decrease in the supply of labour **(1)** because young people would not be able to be employed full-time until they reached the school-leaving age **(1)** which means only people over 18 in England could contribute to the supply of labour **(1)** Accept any other appropriate response	**(3)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 6 of 14 · Question 1 part i · 6 marks

2021 JUN · Paper 01 · extract 4 of 5 · find part i in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse why Bupa may have decided to operate in a wider range of markets. Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • There are several factors that can affect the growth of firms. One of these is the desire to spread risks • By expanding its product range, Bupa can reduce the risk because it is trading in different markets • This means that if there is a problem in one market (such as health insurance) it has other areas in which it can continue to trade • Therefore the range of services, such as hospital and dental treatment, could help to finance the firm and allow it to continue to be successful, if there are problems in other markets • As Bupa operates in 190 countries, it is likely to encounter uncertainty in the different markets and therefore having a range of services means it is reducing the overall risk to the firm

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Why and how firms grow: mergers and takeovers

Answer 6 of 14 · Question 1 part i · 6 marks

2021 JUN · Paper 01 · extract 5 of 5 · find part i in this mark scheme extract

Question Number	Which **one** of the following products has a price inelastic demand? Answer	Mark

Type MS · Why and how firms grow: mergers and takeovers

Answer 7 of 14 · Question 2 part g · 3 marks

2021 NOV · Paper 01 · extract 1 of 6 · find part g in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **B** X A is not correct because there will be no unemployed resources C is not correct because it is not achievable D is not correct because all resources will be fully employed	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: **C** employee rights A is not correct because consumers are not members of the union B is not correct because this is not the responsibility of a trade union D is not correct because trade unions are independent of the government	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for a correct reason • Size of market • Nature of market (niche) • Lack of finance • Aims of the entrepreneur Accept any other appropriate response	**(1)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 7 of 14 · Question 2 part g · 3 marks

2021 NOV · Paper 01 · extract 2 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation 2.7/4.9 **(1)** Award 1 mark for correct PES = 0.55 **(1)** Award 2 marks if PES is correctly calculated as 0.55, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for reference to a firm setting the market price A dominant firm sets the price in the market Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason A computer can be used to help make goods and services **(1)** therefore a computer is capital **(1)** Accept any other appropriate response	**(2)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 7 of 14 · Question 2 part g · 3 marks

2021 NOV · Paper 01 · extract 3 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant factor Award 1 mark for developing the response Award 1 mark for the response being in context • Access to finance. **(1)** Abi would need to obtain more money to be able to move to larger premises. **(1)** She may not have enough/be able to borrow enough finance to fund the expansion **(1)** Accept any other appropriate response	**(3)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 7 of 14 · Question 2 part g · 3 marks

2021 NOV · Paper 01 · extract 4 of 6 · find part g in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Negative externalities are spillover effects on third parties due to consumption/production • Pollution is an example of a negative externality because it is created by high volumes of traffic and has an external cost to people in Jakarta • One method of government intervention to reduce negative externalities is the use of regulation • These regulations will limit the amount of pollution produced and reduce the externalities • The Indonesian Government introduced the traffic-free regulation in an attempt to reduce pollution levels in Jakarta because less traffic should lead to less fumes being emitted into the environment • The regulation covers over 8 km of Jakarta's streets on a Sunday, meaning a section of the city is not subjected to the negative externality of traffic fumes during this time • In 2016 air-quality had improved by 65% since the regulations were introduced, meaning the regulations have been quite effective in reducing the negative externality **AO4** • However, there is no guarantee that the reduced pollution level is a direct result of the traffic-free regulation • Other measures may be in place such as the taxation on fuel • The effectiveness of the regulations depends on the level of enforcement from the government and cooperation from the public • The number of vehicles registered in the area is increasing, meaning that pollution is also likely to increase again • There are likely to be other factors causing pollution in the city, such as from factories

Type MS · Why and how firms grow: mergers and takeovers

Answer 7 of 14 · Question 2 part g · 3 marks

2021 NOV · Paper 01 · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Why and how firms grow: mergers and takeovers

Answer 7 of 14 · Question 2 part g · 3 marks

2021 NOV · Paper 01 · extract 6 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark

Type MS · Why and how firms grow: mergers and takeovers

Answer 8 of 14 · Question 2 part e · 1 mark

2022 JUN · Paper 01 · extract 1 of 6 · find part e in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **A** W -1.5 B is not correct because this is unitary elasticity C is not correct because this is price inelastic D is not correct because the responsiveness is equal	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: **B** External economies of scale A is not correct because this is when an individual firm benefits from falling average costs C is not correct because this results from higher average costs D is not correct because this is a type of internal economies of scale	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for a suitable disadvantage • Reduced profit • Higher (advertising) costs • Need to reduce prices Accept any other appropriate response	**(1)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 8 of 14 · Question 2 part e · 1 mark

2022 JUN · Paper 01 · extract 2 of 6 · find part e in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation $75 000 + ($525 x 1350) **(1)** Award 1 mark for correct total costs = $783 750 **(1)** Award 2 marks if total costs per month are correctly calculated as $783 750, even if no calculations are shown Award 1 mark for 783 750, with or without calculations shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition • One firm buying out another firm • Obtaining control of a firm by buying over 50% of its shares Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason • They may develop buying habits **(1)** to stay loyal to a particular brand they enjoy **(1)** • They may copy the behaviour of others **(1)** in order to fit in with others in a group **(1)** Accept any other appropriate response	**(2)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 8 of 14 · Question 2 part e · 1 mark

2022 JUN · Paper 01 · extract 3 of 6 · find part e in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant effect Award 1 mark for developing the effect Award 1 mark for the response being in context • A price increase would increase the quantity supplied **(1)**. An increase from $4.50 to $5.00 results in more units **(1)** because producers would increase profits **(1)** • A price decrease would decrease the quantity supplied **(1).** A decrease from $4.50 to $4.00 results in fewer units **(1)** leading to a movement along the supply curve **(1)** Accept any other appropriate response	**(3)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 8 of 14 · Question 2 part e · 1 mark

2022 JUN · Paper 01 · extract 4 of 6 · find part e in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The supply of labour is the number of people willing and able to work • It can be affected by many factors, including skills and qualifications • Normally, the supply of labour will increase if there is an increase in the number of people qualified to work in that industry • There has been an increase in the number of graduates with degrees in science, maths and modern languages • By having a degree in these subjects, graduates are more likely to be attracted into the teaching profession by the bonus payment of £9 000 • Therefore, having a degree in science, maths or modern languages would lead to an incentive of higher wages, meaning that the supply of teachers should increase with an increase in skills and qualifications **AO4** • However, it may depend on other factors such as working conditions in teaching because long hours, bureaucracy and student behaviour may deter those with skills and qualifications to teach • If the skills and qualifications can be used by other occupations, graduates may move to alternative types of employment and will not increase the supply of teachers • The bonus is only available to teachers with degrees in maths, science and modern languages and so those qualified in other subjects may find it more beneficial to work in other types of employment • Therefore, an increase in skills and qualifications may not always lead to an increase in the supply of teachers

Type MS · Why and how firms grow: mergers and takeovers

Answer 8 of 14 · Question 2 part e · 1 mark

2022 JUN · Paper 01 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Why and how firms grow: mergers and takeovers

Answer 8 of 14 · Question 2 part e · 1 mark

2022 JUN · Paper 01 · extract 6 of 6 · find part e in this mark scheme extract

Question number	Answer	Mark

Type MS · Why and how firms grow: mergers and takeovers

Answer 9 of 14 · Question 3 part a · 1 mark

2023 JAN · Paper 01 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

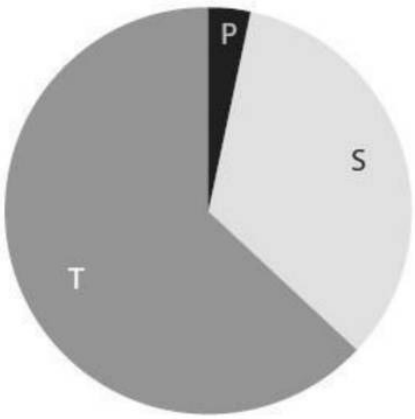
3(a)	**AO1 1 mark** The only correct answer is: **A** The joining together of two firms B is not correct because this is privatisation C is not correct because this means one firm ceases to exist D is not correct because a merger reduces competition in the market	**(1)**

Question number	Which one of the following is a reason why a government would introduce a minimum wage? **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **C** To close the income gap between the rich and the poor A is not correct because if wages increase fewer benefits would need to be paid B is not correct because higher wages may increase motivation D is not correct because this would increase their costs and reduce their profits	**(1)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 9 of 14 · Question 3 part a · 1 mark

2023 JAN · Paper 01 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

Question number	On the blank pie chart below, draw and label the likely approximate size of employment in the primary (P), secondary (S) and tertiary (T) sectors for a developed country, such as Japan. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for the Tertiary sector (T) being the biggest **(1)** Award 1 mark for the Secondary sector (S) being the second biggest **(1)** Award 1 mark for the Primary sector (P) being the smallest **(1)**  	**(3)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 9 of 14 · Question 3 part a · 1 mark

2023 JAN · Paper 01 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

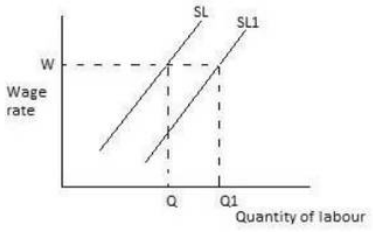
Question number	With reference to the data above and your knowledge of economics, analyse the possible external costs that may occur during the building of the residential tower. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • External costs are negative impacts on third parties • Local people and workers in the city's business district could suffer from negative externalities as a result of the tower being built • Negative externalities include noise pollution, air pollution, congestion and overcrowding • Building the tower is likely to be noisy, create dust and require an excess of vehicles in the area • This means that building the tower is likely to lead to negative externalities • Neither the producers nor the consumers would be the ones suffering from the pollution and congestion

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Why and how firms grow: mergers and takeovers

Answer 9 of 14 · Question 3 part a · 1 mark

2023 JAN · Paper 01 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the benefits to Dubai of employing such a high proportion of migrant labour. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Migration occurs when a person moves to live in a foreign country • There will be an increase the supply of labour, which shifts the labour supply curve to the right, when there is an increase in the number of workers entering a country and available for employment • Possible use of a diagram  • This could increase in the number of workers employed in a city such as Dubai and will reduce labour shortages in particular sectors • The fact that 2 million migrants (80% of the population) live in Dubai, providing services such as construction, highlights the large contribution migration makes towards the supply of labour in the city • This should help Dubai's economy to be more productive and expand **AO4** • However, the majority of immigrants work in construction, cleaning and care services • This means there may not be a large increase in the supply of labour in other sectors of the economy • The migrant workers may not have the right skills to fill all labour shortages • The supply of labour may only be short-term if migrants return to their home countries after a short period of time. This may make migration less effective as a way to increase the supply of labour • Increasing the retirement age, reducing the school-leaving age or making it easier for females to participate in the workforce may be more effective ways to increase the supply of labour • This is because these methods may make it more effective to keep a long-term supply of labour as well as to recruit workers into jobs in other sectors of the economy than those such as construction, cleaning and care services

Type MS · Why and how firms grow: mergers and takeovers

Answer 9 of 14 · Question 3 part a · 1 mark

2023 JAN · Paper 01 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Why and how firms grow: mergers and takeovers

Answer 9 of 14 · Question 3 part a · 1 mark

2023 JAN · Paper 01 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

Question number	Calculate the total revenue for the product that has a price elasticity of demand (PED) which is inelastic. You are advised to show your working. **Answer**	Mark

Type MS · Why and how firms grow: mergers and takeovers

Answer 10 of 14 · Question 4 part c · 12 marks

2023 JAN · Paper 01 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for selecting product X **(1)** Award 1 mark for correct total revenue $3 000 x 50 = $150 000 **(1)** Award 2 marks if total revenue is accurately calculated as $150 000, even if no calculations are shown Award 1 mark if the answer given is 150 000, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 10 of 14 · Question 4 part c · 12 marks

2023 JAN · Paper 01 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the reasons why consumers may not maximise their benefit when consuming sugary drinks. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Consumers are not always very good at calculating what is/is not good for them • An increase in adverts has put pressure on consumers to purchase unhealthy products, such as sugary drinks • It is unlikely that consumers would have the full information about the negative effects of the sugar in drinks, such as Coca Cola and Fanta, from the adverts and so would be unlikely to be able to maximise their benefit • It can be difficult to change habits, such as enjoying the taste of the soft drinks and so consumers may still be prepared to pay the additional 0.50 zloty ($0.11) cost/litre • This is especially true if the price of the drinks is only a small amount of the consumer's income • Changing the habit of consuming sugary drinks may be even more difficult if this is different to the actions of friends • This is because, as consumers see others consuming sugary drinks, they may copy this behaviour

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Why and how firms grow: mergers and takeovers

Answer 10 of 14 · Question 4 part c · 12 marks

2023 JAN · Paper 01 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate whether the family should expand the business rather than keeping it small. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Expanding a business means serving a higher number of customers, to potentially increase profits • Becoming a larger firm may mean NT Massage is able to make higher profits because it can charge higher prices to the tourists and business people in the new shops • It may have a large increase in customer numbers because there would be shops in busier areas of Hong Kong, this would lead to an increase in revenue and therefore, possibly profits • By having a chain of shops, advertising at hotels and targeting the 7.5 million population of Hong Kong as well as tourists/business people, NT Massage would be spreading its risks, rather than just relying on the original location and local residents • Due to its success as a small business, NT Massage may have more access to finance to be able to grow the firm • It may be possible for NT Massage to benefit from economies of scale, such as being able to spread advertising costs **AO4** • However, NT Massage currently offers a very traditional service which may be negatively affected if the firm expands • The long-standing customers may not like changes being made to the firm, especially if they value the traditional approach • It may experience diseconomies of scale such as difficulty in coordinating and controlling the firm in more than one location, especially if Mei and her family are only used to having one shop • There would be a lot of competition located near to the proposed new locations, meaning that it would be more difficult to attract custom • It would require time and money to grow the firm, meaning that it may be a long time before any profit is made • Raising finance may be difficult for a small business such as NT massage • This could cause further problems for the existing business • Therefore, it may depend on the strength of existing competitors, the ability of NT Massage to advertise successfully and the volume of tourism/business from which to attract potential custom

Type MS · Why and how firms grow: mergers and takeovers

Answer 10 of 14 · Question 4 part c · 12 marks

2023 JAN · Paper 01 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Why and how firms grow: mergers and takeovers

Answer 10 of 14 · Question 4 part c · 12 marks

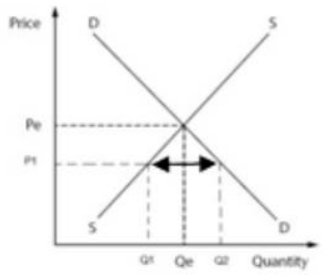
2023 JAN · Paper 01 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

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Type MS · Why and how firms grow: mergers and takeovers

Answer 11 of 14 · Question 2 part f · 3 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 6 · find part f in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **A**  B is not correct because this shows a movement along the demand curve C is not correct because this shows excess supply D is not correct because this shows a decrease in demand	**(1)**

Question number	Which **one** of the following is a feature of an oligopoly? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **C** Different products are sold A is not correct because there are a few large firms in the market B is not correct because firms often collude D is not correct because there are some barriers to entry	**(1)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 11 of 14 · Question 2 part f · 3 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 6 · find part f in this mark scheme extract

Question number	Calculate the **percentage change in quantity supplied** for a product if the price elasticity of supply (PES) is 1.5 and the price increases by 12%. You are advised to show your working. **Answer**	**Mark**
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation 1.5 x 12% **(1)** **OR** $\frac{X\ \%}{12\% = 1.5}$ **(1)** Award 1 mark for correct change in quantity supplied = 18% **(1)** Award 2 marks if the percentage change in quantity supplied is correctly calculated as 18%, even if no calculations are shown Award 1 mark if the percentage change in quantity supplied is calculated as 18, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term social costs? **Answer**	**Mark**
2(d)	**AO1 1 mark** Award up to 2 marks for correct definition Private costs **(1)** plus external costs **(1)** Accept any other appropriate response	**(2)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 11 of 14 · Question 2 part f · 3 marks

2024 JUN · Paper 01 (regional R) · extract 3 of 6 · find part f in this mark scheme extract

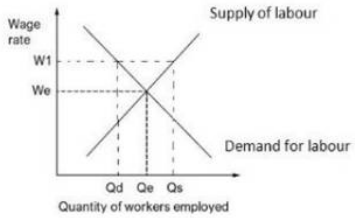
Question number	Describe **one** reason why innovation may be more likely to occur in a monopoly. **Answer**	**Mark**
2(e)	**AO1 2 marks** Award 1 mark for reference to the feature and 1 mark for development of the feature Monopoly may be a price-maker **(1)** allowing higher profits which can be used to develop new products/services **(1)** Accept any other appropriate response	**(2)**

Question number	Explain **one** reason why Sajad may decide to expand his business. **Answer**	**Mark**
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • Economies of scale may be gained **(1)** due to spreading marketing costs across the business **(1)** because Sajad could advertise both shops for the same cost as just one **(1)** • The desire to spread risk **(1)** may mean Sajad is more confident of maintaining a successful business **(1)** because even if sales decrease at one shop, he has the other to fall back on **(1)** Accept any other appropriate response	**(3)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 11 of 14 · Question 2 part f · 3 marks

2024 JUN · Paper 01 (regional R) · extract 4 of 6 · find part f in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the likely benefits of increasing the minimum wage for employees and firms in the Netherlands. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The minimum wage is the lowest amount that a firm is legally allowed to pay its employees • The minimum wage in the Netherlands increased to €1 934.40 per month at the start of 2023 • This means that the incomes of employees earning the minimum wage increased by 10.15% each month, giving them more disposable income • Therefore, employees may be able to enjoy a better standard of living due to the wage increase • It may mean employees are more motivated and therefore, lead to higher levels of productivity, meaning firms could increase output • This increase in productivity/output may allow firms to offset the higher wage costs **AO4** • However, if firms cannot afford to pay the higher wage costs because the economy is still weak, they may not be able to employ as many people and this may increase unemployment • Possible use of a diagram:  • If unemployment increases there may be even less spending in the economy, meaning further revenue decreases for firms • This may be more likely at a time when spending in the economy may be reduced due to the high inflation rate of 17% seen in 2022, leading to lower revenues for firms • Employees may not enjoy a higher standard of living, even with the wage increase, due to the high rate of inflation of over 17%

Type MS · Why and how firms grow: mergers and takeovers

Answer 11 of 14 · Question 2 part f · 3 marks

2024 JUN · Paper 01 (regional R) · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Why and how firms grow: mergers and takeovers

Answer 11 of 14 · Question 2 part f · 3 marks

2024 JUN · Paper 01 (regional R) · extract 6 of 6 · find part f in this mark scheme extract

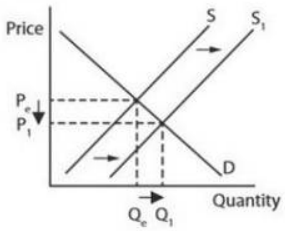
Question number	Which **one** of the following is an example of a job in the primary sector of the economy? **Answer**	**Mark**

Type MS · Why and how firms grow: mergers and takeovers

Answer 12 of 14 · Question 1 part e · 1 mark

2024 NOV · Paper 01 · extract 1 of 5 · find part e in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** The next best alternative given up A is not correct because this is business competition B is not correct because this gives no alternative choice D is not correct because this is spare capacity	**(1)**

Question number	Which **one** of the following diagrams shows the likely effect on the market for cars after an increase in subsidies to car manufacturers? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is **A**  B is not correct because this would be due to a change in price C is not correct because this is a decrease in supply D is not correct because this is a movement along the supply curve	**(1)**

Question number	What is meant by the term external benefit? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition A positive effect **(1)** enjoyed by a third party **(1)** Accept any other appropriate response	**(2)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 12 of 14 · Question 1 part e · 1 mark

2024 NOV · Paper 01 · extract 2 of 5 · find part e in this mark scheme extract

Question number	State **one** example of an external cost. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct example • Pollution • Congestion • Environmental damage Accept any other appropriate response	**(1)**

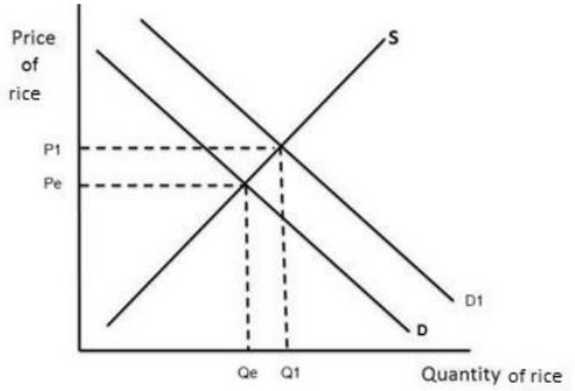
Question number	Define the term takeover. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition When one firm takes control of another firm Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the **price elasticity of supply (PES)** for a good if price decreases by 9.4% and quantity supplied decreases by 3.7%. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation -3.7%/-9.4% **(1)** Award 1 mark for correct PES = 0.39 **(1)** Award 2 marks if PES is correctly calculated as 0.39 even if no calculations are shown Award 1 mark if PES is calculated as 0.39%, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 12 of 14 · Question 1 part e · 1 mark

2024 NOV · Paper 01 · extract 3 of 5 · find part e in this mark scheme extract

Question number	Using the diagram below, draw the likely effect of an increase in the population on the market for rice. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of the demand curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled  	**(3)**

Question number	Explain **one** reason why demand for a product, such as a soft drink, usually becomes more price elastic over time. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • In the short term, consumers may not be able to break their habit **(1)** but in time they are able to reduce consumption **(1)** meaning that they buy less of the sugary products **(1)** • More firms may enter the market **(1)** meaning more substitutes are available **(1)** so, in time, the difference in PED is 0.5 more elastic **(1)** Accept any other appropriate response	**(3)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 12 of 14 · Question 1 part e · 1 mark

2024 NOV · Paper 01 · extract 4 of 5 · find part e in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how all four factors of production might be used to produce chocolate. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Cocoa pods and sugar are natural resources, which are all examples of land being needed to produce chocolate • The cocoa pods are picked by hand which means labour is needed • Ovens in which the cocoa beans are roasted are examples of capital, because these are man-made • Enterprise combines the other factors of production to make sure the production from cocoa to chocolate takes place effectively to get the finished product to the consumer • Thus, all four factors of production may be used to produce chocolate, as without any one of them the process would not be completed as efficiently

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Why and how firms grow: mergers and takeovers

Answer 12 of 14 · Question 1 part e · 1 mark

2024 NOV · Paper 01 · extract 5 of 5 · find part e in this mark scheme extract

Question number	Which **one** of the following options is the most suitable term for the type of market shown in Figure 2? **Answer**	**Mark**

Type MS · Why and how firms grow: mergers and takeovers

Answer 13 of 14 · Question 4 part b · 6 marks

2025 JUN · Paper 01 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation $\frac{5,601,185 - 5,541,075}{5,541,075} \times 100$ **(1)** **OR** $\frac{60,110}{5,541,075} \times 100$ **(1)** Award 1 mark for correct percentage change = 1.08% **(1)** Award 2 marks if percentage change is correctly calculated as 1.08%, even if no calculations are shown Award 1 mark if the answer given is 1.08 with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 13 of 14 · Question 4 part b · 6 marks

2025 JUN · Paper 01 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why Air Asia may benefit from spreading its risk across a wider range of markets. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • One factor that can affect the growth of firms is the desire to spread risks • By expanding its product range, Air Asia can reduce the risk because it is trading in different markets (risk-bearing economies of scale) • This means that if there is a problem in one market (such as travel insurance) it has other areas in which it can continue to trade • Therefore, the range of services, such as airport transfers and holiday packages, could help to finance the firm and allow it to continue to be successful, if there are problems in other markets • As Air Asia operates internationally, it is likely to encounter uncertainty in the different markets and therefore having a range of services means it is reducing the overall risk to the firm

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Why and how firms grow: mergers and takeovers

Answer 13 of 14 · Question 4 part b · 6 marks

2025 JUN · Paper 01 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate whether an increase in the minimum wage would benefit everyone in an economy such as Latvia. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • The minimum wage in Latvia rose from €620 to €700 per month in 2024, meaning that the increased income of employees should lead to a better standard of living • It may mean that employees are more motivated and could therefore lead to higher levels of productivity and so increased output for the firm • This increase in productivity could allow firms to offset the increase in wage costs • Employees could have more disposable incomes and be able to spend more in the economy, allowing the revenue of firms to increase • The rise in incomes would also lead to more tax being paid and so a greater revenue for the Latvian Government • This could be used to further benefit the economy in Latvia **AO4** • However, if firms cannot afford the increase in wage costs, they may not be able to employ as many people and this may increase unemployment • Possible use of a diagram:  • If unemployment increases, there may be less spending in the economy and less tax revenue for the government • This could mean that not only the firms directly affected by the minimum wage increase are worse off but also other firms and their employees if there is less demand for goods and services • As the percentage of the population being paid the minimum wage had fallen to 16%, the lowest in five years, it may not increase costs as much for firms in Latvia as it may have done when more people were paid the minimum wage, as the firms may already be paying employees more than €700/month

	• It may depend on price elasticity of demand for the goods sold, whether firms can increase prices and/or whether an increase in productivity results • In the short term it may be more difficult for firms to cover higher wage costs but this may be easier in the long term if the economy has been boosted by the overall effects of the increase

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Why and how firms grow: mergers and takeovers

Answer 13 of 14 · Question 4 part b · 6 marks

2025 JUN · Paper 01 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

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Type MS · Why and how firms grow: mergers and takeovers

Answer 14 of 14 · Question 4 part c · 12 marks

2025 JUN · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation $\frac{\$214\,100 - \$211\,600}{\$211\,600}$ x 100 **(1)** **OR** $\frac{\$2\,500}{\$211\,600}$ x 100 **(1)** Award 1 mark for correctly calculating the percentage change = 1.18% **(1)** Award 2 marks if the percentage change in profit is correctly calculated as 1.18% even if no calculations are shown Award 1 mark if the percentage change in profit is calculated as 1.18 with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Why and how firms grow: mergers and takeovers

Answer 14 of 14 · Question 4 part c · 12 marks

2025 JUN · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why the market for petrol in Uganda could be described as an oligopoly. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • There are five firms dominating the market for petrol in Uganda • Having a distinctive logo and colours for the brand of petrol allows the offering to customers to be different from competitors • The petrol companies compete through non-price competition, for example excellent customer service is offered by Vivo Energy whereas Total Energies aims to improve its impact on the environment • As a result of having something different about the product, such as Stabex International may be able to keep customers coming back to buy petrol from its pumps, rather than going to competitors such as Nile Energy or Hass Petroleum • Barriers to entry due to very high start-up costs mean it is unlikely new firms will be easily able to enter the market for petrol in Uganda, again showing features of an oligopoly

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Why and how firms grow: mergers and takeovers

Answer 14 of 14 · Question 4 part c · 12 marks

2025 JUN · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate the likely benefits to Řešení of expanding the firm to Prague. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Expanding a business means serving a higher number of customers, to potentially increase profits • Becoming a larger firm may mean Řešení is able to make higher profits because it can charge higher prices to the businesses in Prague • It may have a large increase in customer numbers because there are 8.5% more businesses in Prague than Brno, meaning a larger potential client base • Attracting some of these customers would increase revenue and therefore, potentially increase profit as well • By operating more than one office, Řešení would be spreading its risks, rather than just relying on the original location and businesses in Brno • Due to its earlier success, Řešení may have more access to finance to be able to expand the firm • It may be possible for Řešení to benefit from economies of scale, such as being able to spread advertising costs over a larger number of services **AO4** • However, the small team of accountants in Řešení is already very busy so may be unable to offer the same quality service in Prague as well • Therefore, Daniella may need to employ more accountants to meet the needs of new customers in Prague, meaning additional expense for the firm • It may require some of the accountants in Brno to travel to Prague to help Řešení achieve an excellent reputation there too • As a result, some employees may be demotivated if they do not like the changes and requirement to travel, which could reduce the quality of service to existing customers in Brno • This could cause diseconomies of scale due to reduced productivity or if Daniella has difficulty coordinating/controlling the firm in more than one location, especially as it would be over 200 km apart • Thus, average costs may increase due to less productive workers and/or revenue to decrease due to dissatisfied customers/damaged reputation • There would be more competition located in Prague, meaning it may be difficult to attract custom in spite of the higher number of businesses located there • It would take time and money to open the new office and raising finance may be difficult as Řešení is only a small firm, meaning that making a profit may take a long time

Type MS · Why and how firms grow: mergers and takeovers

Answer 14 of 14 · Question 4 part c · 12 marks

2025 JUN · Paper 01 · extract 4 of 5 · find part c in this mark scheme extract

	• Therefore, it may depend on the strength of existing competitors and the ability of Řešení to manage the expansion

Level	Mark	Descriptor
	0	No rewardable material.
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Type MS · Why and how firms grow: mergers and takeovers

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